

Q2 2026 Market Report

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Executive Summary

The second quarter of 2026 showed strong performance across major equity indices, with the S&P 500 gaining 8.2% and the NASDAQ Composite rising 11.4%. Fixed income markets remained under pressure as the Federal Reserve maintained its hawkish stance, keeping rates elevated at 4.75%.

Key highlights:

- Technology sector led gains with +14.3% return
- Energy sector declined -3.1% amid falling oil prices
- Emerging markets outperformed developed markets
- Volatility (VIX) averaged 16.2, below historical mean

Equity Market Overview

US Large Cap Performance

The S&P 500 index closed Q2 at 5,842.50, reflecting broad market optimism driven by strong corporate earnings and improving economic indicators.

Sector Breakdown (Q2 Returns):

Technology:	+14.3%
Healthcare:	+9.1%
Financials:	+7.8%
Consumer Disc.:	+6.5%
Industrials:	+5.2%
Utilities:	+3.9%
Real Estate:	+2.1%
Materials:	+1.4%
Consumer Staples:	+0.8%
Energy:	-3.1%

Fixed Income & Rates

Treasury Yields

The yield curve remained inverted through most of Q2, with the 2Y-10Y spread narrowing to -15bps by quarter end.

Key Rates (End of Q2):

Fed Funds Rate: 4.75%

2-Year Treasury: 4.52%

10-Year Treasury: 4.37%

30-Year Treasury: 4.58%

Corporate bond spreads tightened, with investment grade spreads at 95bps over treasuries and high yield at 320bps.

Total returns for the quarter:

US Aggregate Bond: +1.2%

Investment Grade: +1.8%

High Yield: +3.4%

Commodities & FX

Commodity Markets

Crude oil (WTI) declined 8.5% to \$72.40/barrel as OPEC+ increased production targets. Gold reached new highs, closing the quarter at \$2,485/oz (+6.2%).

Select Commodity Performance:

Gold:	+6.2%
Silver:	+8.7%
Copper:	+4.1%
WTI Crude:	-8.5%
Natural Gas:	-12.3%

Foreign Exchange:

EUR/USD:	1.0920 (+2.1%)
USD/JPY:	148.50 (-1.8%)
GBP/USD:	1.2840 (+1.5%)
DX Index:	103.20 (-1.9%)

Outlook & Risks

Q3 2026 Outlook

We maintain a cautiously optimistic outlook for Q3 2026.

Key factors to watch include:

1. Federal Reserve policy trajectory
2. Corporate earnings season (July-August)
3. Geopolitical developments
4. US consumer spending trends
5. AI/Technology capital expenditure cycle

Risk Factors:

- Inflation reacceleration above 3%
- Credit market deterioration
- Geopolitical escalation
- Earnings disappointments in mega-cap tech

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